Cable One, Inc.

Credit Review – August 2026

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Opportunity Overview

Cable One, Inc. is a facilities-based broadband and video provider serving mid-sized and rural markets under the Sparklight brand

- Single reportable segment, revenue driven by residential and business data, with legacy video and voice in structural decline
- Network is primarily HFC, essentially all gigabit-capable today, with multi-gig reaching most markets by year-end 2026
- Generated $1,441.6mm of LTM revenue and $752.6mm of LTM Adj. EBITDA (52.2% margin)

Ratings & Structure

- Corporate rating BB- / B2 (Negative), First Lien facility rating BB- / Ba3. $1.25B Revolving Credit Facility ($550mm drawn), Term Loan B-2, B-3 and B-4 rank pari passu First Lien

Investable Opportunity (as of 8/14/2026)

- $231.9mm Term Loan B-2 (S+225bps), due 10/30/2029 - Trading at $83.88, 12.2% YTW
- $729.9mm Term Loan B-3 (S+225bps), due 10/30/2029 - Trading at $84.00, 12.1% YTW
- $696.1mm Term Loan B-4 (S+200bps), due 5/3/2028 - Trading at $87.00, ~14.6% YTW - **(RECOMMENDED BUY)**

MBI Context

- GTCR's exercised put requires CABO to acquire the remaining ~55% of Mega Broadband Investments (MBI) for ~$480mm, consolidating ~$920mm of existing MBI debt and materially tightening PF covenant headroom

Investment Summary & Recommendation

Credit Profile

- Broadband franchise remains challenged by fiber overbuild, FWA competition and continued residential data subscriber pressure
- Underwriting assumes continued EBITDA decline ($752.6mm LTM → $586.1mm 2029E), not an operating recovery
- FCF remains meaningfully positive throughout the forecast, supporting standalone debt reduction through 2028
- Existing HFC network is gigabit-capable today and not facing an immediate capacity cliff

Capital Structure

- Standalone Net Leverage improves from 3.83x LTM to 3.56x by 2029E as FCF-driven paydown outpaces EBITDA decline
- Illustrative PF MBI leverage tightens covenant cushion to ~4.08x First Lien (4.25x max) / ~5.08x Total (5.50x stepped-up max)
- RCF, $345mm Converts and B4 mature within ~10 weeks of each other in early 2028
- First Lien recovery averages ~88% (Current Draw), meaningfully lower Fully Drawn

Recommendation: BUY B4

- B4: 87.00 price, ~14.6% YTW, S+200bps, matures 5/3/2028 - First Lien claim at the center of the 2028 refinancing mechanics
- CABO is structurally incentivized to address B4 through repayment or qualifying refinancing to reset B2/B3's springing maturity, successful resolution accelerates its pull-to-par, while failure increases refinancing pressure across the capital structure
- First Lien recovery is secondary downside support, not the primary reason for the BUY
- The credit does not require an operating turnaround: it requires CABO to remain cash-generative enough to reduce debt and preserve refinancing access through 2028

Business Description & Overview

~2.85mm
Passings (Q2'26)

~34%
Data Penetration

≤20%
Peak Network Utilization

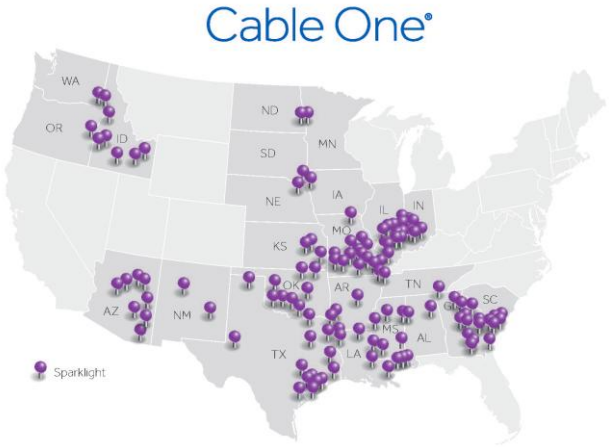
~80%
Footprint w/ FWA Overlap

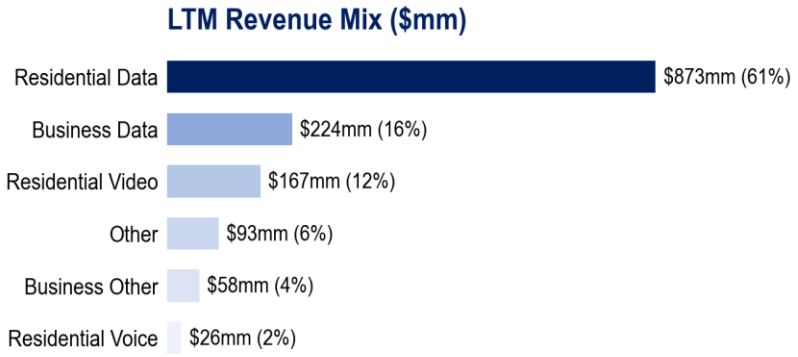
What CABO Sells

- Residential data is the core revenue driver (~61% of LTM revenue), legacy residential video (~12%) and voice (~2%) continue to decline structurally
- Business data and other services contribute ~20% of LTM revenue

Where CABO Operates

- Facilities-based broadband and video provider serving mid-sized and rural markets under the Sparklight brand, single reportable segment
- 2,847K passings as of Q2'26, up from 2,704K in FY22, data penetration has declined from 39.2% to 34.0% over the same period as subscriber losses have outpaced footprint growth





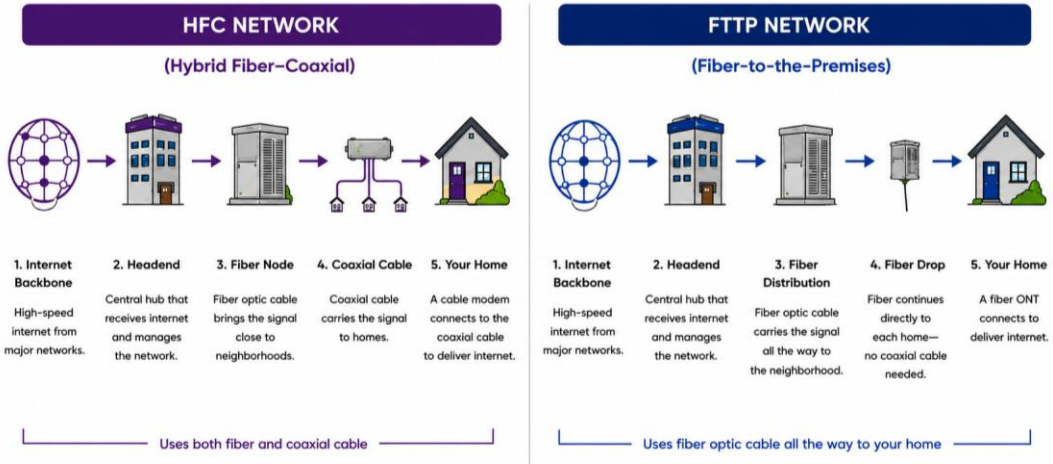
Business Description & Overview (Continued)

Network

- Primarily HFC (hybrid fiber-coax), FTTP (fiber to the premises) overbuild in ~10% of markets as of the Q4'25 call
- Essentially all of the network is gigabit-capable today, with multi-gig reaching the vast majority of markets by year-end 2026 - a capital-efficient upgrade of existing plant, per management
- Peak-hour network utilization runs at or below ~20% against ~835GB of average monthly usage per customer (Q4'25 call)

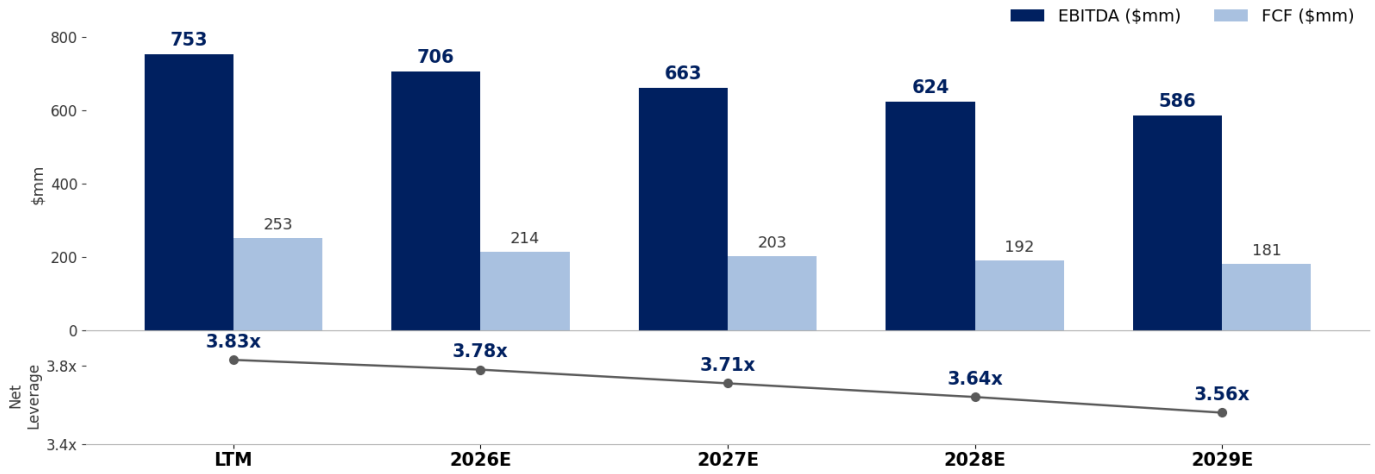
Competitive Position

- ~80% of the footprint carries at least one fixed-wireless access competitor as of the Q1'26 call, fiber overbuild is active in portions of the footprint
- FTTP offers superior long-term capacity and symmetry, but CABO's existing HFC infrastructure remains capable of meeting near-term bandwidth needs without an immediate network rebuild



FCF Supports Deleveraging Despite EBITDA Pressure

- EBITDA declines from $752.6mm LTM to $586.1mm by 2029E as residential data subscriber pressure continues
- FCF remains positive in every forecast year, from $214.3mm in 2026E to $181.4mm in 2029E
- Net Leverage improves from 3.83x LTM to 3.71x by 2027E, ahead of the 2028 refinancing event
- B4 does not require an operating turnaround to work: it requires continued cash generation through 2028



Longer-term monitoring point beyond the 2028 B4 horizon: a more conservative case lifts standalone Total Net Leverage toward ~4.9x by 2029E

MBI Compresses Covenant Cushion

MBI Transaction Overview

- GTCR's exercised put requires CABO to acquire the remaining ~55% of MBI (from ~45% owned today) for ~$480mm, expected to close October 2026, consolidating ~$920mm of existing MBI term debt that predates the put and carries no CABO guarantee today

Covenant Compliance: Standalone vs. Illustrative Pro Forma MBI

Scenario	FL Net Lev.	FL Max	FL Headroom	Total Net Lev.	Total Max	Total Headroom	Status
Current / Standalone (LTM)	2.94x	4.25x	1.31x	4.15x	5.00x	0.85x	PASS
PF MBI (Base Funding Case)	4.08x	4.25x	0.17x	5.08x	5.50x*	0.42x	PASS

**5.50x acquisition step-up, without it, PF Total Net Leverage of 5.08x breaches the 5.00x maximum. Assumes ~$33mm pre-close FCF applied first, ~$447mm via RCF / incremental debt.*

Covenant Treatment

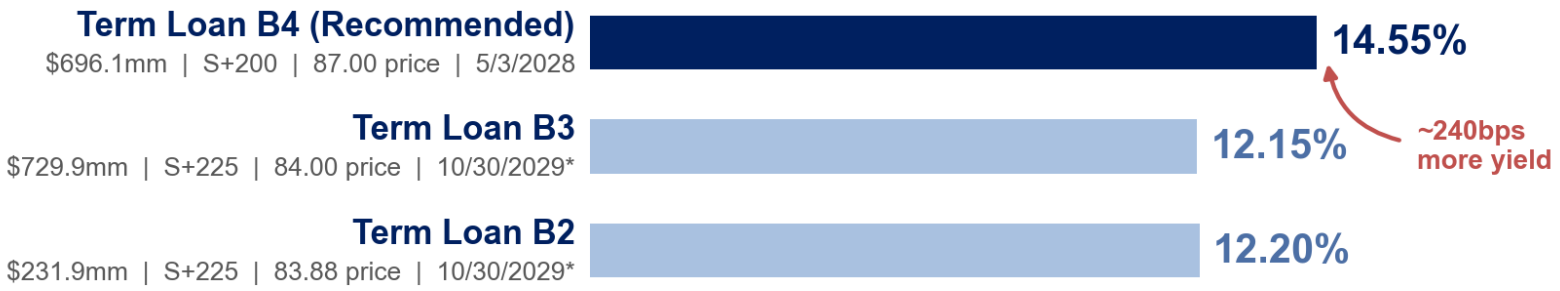
- MBI debt is included in First Lien per Amendment No. 2, which deems consolidated MBI debt First Lien Indebtedness for leverage testing purposes

Recovery Treatment

- MBI's ~$920mm term debt remains structurally separate and non-recourse to CABO, and does not share in CABO collateral claims

- Covenant classification and legal recovery priority are separate concepts - MBI debt affects CABO's leverage tests without obtaining a claim on CABO collateral

B4 Offers the Clearest Path to Value Realization



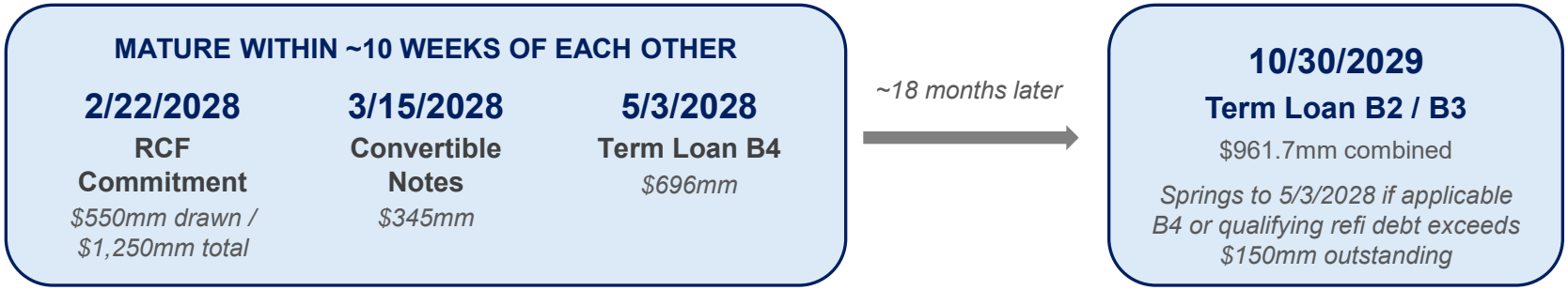
**Springs to 5/3/2028 if applicable B4 or qualifying refi debt exceeds $150mm outstanding*

Capital Structure Pricing

- B4 offers ~240bps more yield than B2/B3 despite maturing about 18 months earlier, pricing in refinancing risk rather than credit deterioration
- B4's position in the maturity structure gives CABO a strong incentive to repay or refinance it with long-dated debt ahead of the 2028 refinancing event
- Refinancing into another short-dated instrument would not resolve it: over $150mm of qualifying B4 debt outstanding still springs B2/B3's maturities to May 2028

- B4 is the security CABO is structurally incentivized to address first, successful repayment or long-dated refinancing lets B4 capture the pull-to-par catalyst while B2/B3 retain their scheduled 2029 maturities. Failure to address it pulls B2/B3 forward and spreads refinancing pressure across the capital structure

2028 Is the Key Underwriting Event



RCF, Convertibles, and B4 mature within ~10 weeks of each other in early 2028

- $550mm drawn of the $1,250mm total RCF commitment, $345mm Convertible Notes, and $696mm Term Loan B-4

RCF and B2/B3 each carry a B4-linked springing maturity provision

- Tied to the same ~$150mm outstanding B4 / qualifying B4 refinancing debt threshold

FCF-driven deleveraging reduces the refinancing requirement before 2028, but does not eliminate the maturity wall

- Standalone Net Debt falls from approximately $2,879mm LTM to approximately $2,462mm by 2027E, roughly $417mm of deleveraging achieved before entering the 2028 maturity complex

- Successful refinancing of the 2028 maturity complex depends on CABO continuing to generate FCF and reducing net debt ahead of the maturity wall.

First Lien Recovery Provides Downside Support

Current Draw ($550mm)

Stress EBITDA	3.5x	4.0x	4.5x
$650mm	100%	100%	100%
$550mm	85%	97%	100%
$450mm	69%	79%	89%

Fully Drawn Revolver ($1,250mm)

Stress EBITDA	3.5x	4.0x	4.5x
$650mm	76%	87%	98%
$550mm	64%	73%	83%
$450mm	53%	60%	68%

Selected sensitivities shown below. Full stress-grid average: ~88% Current Draw / ~70% Fully Drawn.

≥90% par | 75-89% minor impairment | 55-74% moderate | 35-54% material | <35% severe

- Current Draw: First Lien recovery averages ~88% across the full stress grid and reaches full recovery only at higher EBITDA and multiple combinations
- Fully Drawn: recovery falls to ~70% average as the additional RCF claims dilute First Lien coverage. At $500mm EBITDA and 4.0x, recovery is 67% Fully Drawn versus 88% Current Draw
- Fulcrum breakeven: First Lien is covered above ~3.0x to 4.0x EV/EBITDA versus today's implied ~4.1x. The recovery thesis assumes no residual value from CABO's MBI equity stake

- Recovery provides a second layer of protection, not the primary reason for the BUY

Sources: Company Filings

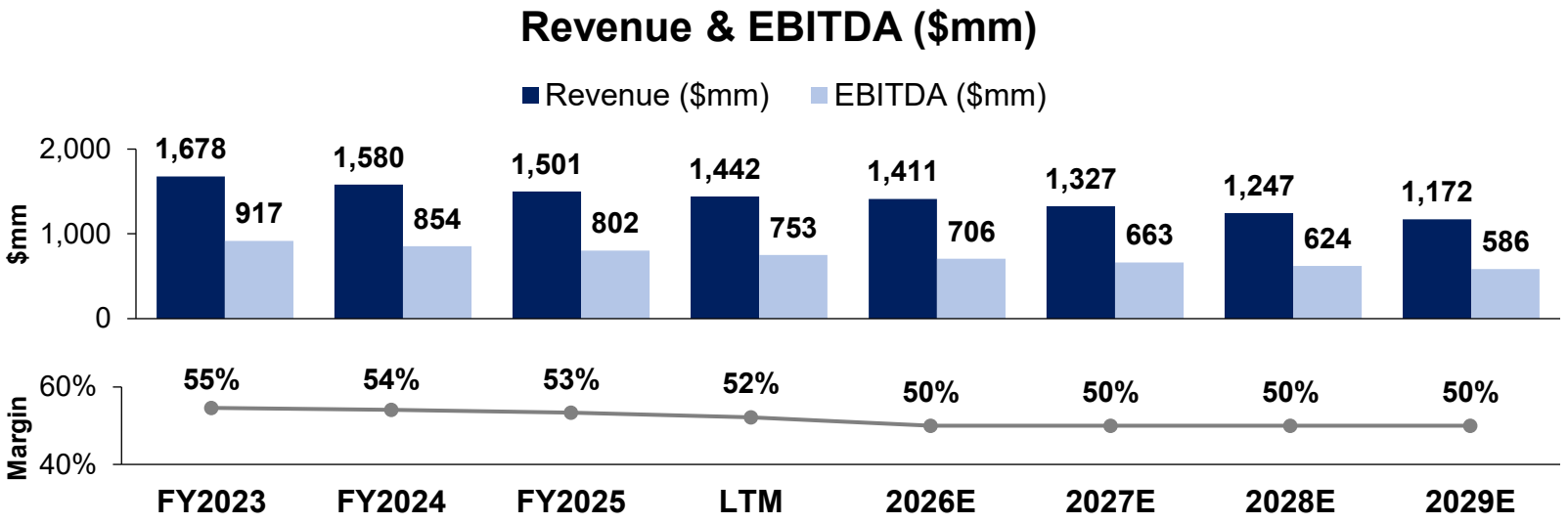
Investment Conclusion

- The underwriting assumes continued EBITDA decline, not an operating turnaround. CABO's HFC network remains gigabit-capable with meaningful capacity headroom, limiting near-term technology-driven capex needs despite continued fiber and FWA competition
- CABO remains strongly FCF positive through the forecast despite EBITDA declining from $752.6mm LTM to $586.1mm in 2029E, supporting debt reduction and an improvement in standalone Net Leverage from 3.83x to 3.56x
- B4 is a priority within the 2028 maturity complex. Leaving it unresolved risks pulling B2/B3 and the RCF into the same refinancing window, giving CABO a strong incentive to repay B4 or refinance it with sufficiently long-dated debt
- First Lien recovery averages ~88% under the Current Draw stress grid versus B4's current price of 87, providing downside support without being required to drive the recommendation. Recovery falls to ~70% under a Fully Drawn RCF stress
- MBI materially increases leverage and reduces financial flexibility, with final transaction financing remaining the key near-term uncertainty. MBI's ~$920mm term debt remains non-recourse to CABO under the current structure
- At 87.00 and ~14.6% YTW, the underwriting supports a BUY without requiring operating stabilization. Continued FCF generation provides capacity to address the maturity wall, B4's springing mechanics create a strong incentive to address the loan, and First Lien recovery provides additional downside support

Recommendation: BUY B4

Appendix

Operating Performance



($mm)	FY2023	FY2024	FY2025	LTM	2026E	2027E	2028E	2029E
Revenue	1678.1	1579.5	1501.4	1441.6	1411.3	1326.7	1247.1	1172.2
EBITDA	916.9	854.0	801.7	752.6	705.7	663.3	623.5	586.1
Margin (%)	54.6%	54.1%	53.4%	52.2%	50.0%	50.0%	50.0%	50.0%
FCF	292.1	377.8	278.1	253.0	214.3	202.6	191.6	181.4

Detailed Capital Structure

Instrument	Balance	Price	Spread	YTW	Maturity	Ranking
RCF ($1,250mm commitment)	$550.0mm	-	S+175	-	2/22/2028*	First Lien (pari passu)
Term Loan B2	$231.9mm	83.88	S+225	12.2%	10/30/2029*	First Lien (pari passu)
Term Loan B3	$729.9mm	84.00	S+225	12.1%	10/30/2029*	First Lien (pari passu)
Term Loan B4 (Recommended)	**$696.1mm**	**87.00**	**S+200**	**14.6%**	**5/3/2028**	**First Lien (pari passu)**
Total Secured Debt (1L)	**$2,207.8mm**					
4.00% Senior Notes due 2030	$502.6mm	38.46	-	31.0%	11/15/2030	Senior Unsecured
1.125% Conv. Notes due 2028	$345.0mm	43.32	-	62.3%	3/15/2028	Senior Unsecured
Finance Lease Liabilities	$2.9mm	-	-	-	Various	-
Total Debt	**$3,045.2mm**					

**Subject to springing maturity (B4-linked provisions)*

Selected Debt Comps

Borrower	Ratings	Maturity	Spread	Price	Yield	Gross Lev.	Total Lev.
Charter Communications	BB+ / Ba2	12/15/2031	S+225	96.75	6.6%	4.43x	4.41x
CSC Holdings / Optimum	CCC	4/15/2027	S+250	63.19	75.3%	8.57x	8.15x
Cable One (B4)	**BB- / Ba3**	**5/3/2028**	**S+200**	**87.00**	**14.6%**	**4.05x**	**3.83x**

MBI Transaction Detail

TRANSACTION

- CABO holds a ~45% equity interest in Mega Broadband Investments (MBI) today, accounted for under the equity method
- GTCR's exercised put right requires CABO to acquire the remaining ~55%
- ~$480mm remaining purchase consideration
- Expected to close October 2026

BALANCE SHEET IMPACT

- Closing moves CABO from equity-method accounting to full consolidation of MBI's assets, liabilities and operating results
- ~$920mm of MBI's existing term debt is consolidated onto CABO's balance sheet
- That MBI debt predates the put and remains structurally separate and non-recourse to CABO today

FINANCING / LME

- Illustrative Base Funding Case: ~$33mm pre-close FCF applied first, remaining ~$447mm via RCF / incremental debt
- Final financing mix not yet disclosed by the company
- Proposed June 2026 MBI term debt exchange (cash plus new FLFO/FLSO CABO secured debt) drew only ~34% lender participation. CABO signaled in July 2026 it may not proceed
- No transaction targeting CABO's existing Term Loans has closed, but the FLFO/FLSO willingness remains a priority / LME risk to monitor as 2028 approaches